URBAN COMPANY REVIVES A KEY QUESTION: CAN PROFIT WAIT FOR GROWTH?

Sub-title : Urban Company is prioritising market leadership in InstaHelp despite near-term losses, while its established India consumer-services business continues to make money.

Reading Pass 1 : Main Article

Urban Company slipped back into the red in the June quarter, but investors seemed willing to look past the loss. Its shares jumped as much as 18 per cent in the first trading session after the results, despite the home-services platform reporting a net loss of ₹92.12 crore.

What seemed to matter more was why the company was losing money. Urban Company has been investing heavily in InstaHelp, its instant home-help business, even as its core services marketplace continues to grow and remain profitable.

The company's June-quarter numbers showed growth alongside rising investment. Revenue from operations rose 44 per cent year-on-year (Y-o-Y) to ₹528.34 crore, but the company swung to a net loss of ₹92.12 crore from a profit of ₹6.94 crore a year earlier. Total expenses rose 66.5 per cent to around ₹640 crore.

According to the company, much of the pressure came from InstaHelp, which reported an adjusted Ebitda loss of ₹132 crore. Its unit economics, however, showed improvement, with loss per order narrowing to ₹346 from ₹447 in the March quarter.

The core India consumer-services business, excluding InstaHelp, continued to grow profitably. Its net transaction value (NTV) rose 29 per cent Y-o-Y to ₹1,056 crore, while adjusted Ebitda stood at ₹73 crore. The adjusted Ebitda margin improved to 6.9 per cent of NTV from 5.2 per cent a year earlier. The company expects to reach consolidated adjusted Ebitda breakeven by the third quarter of FY28.

Reading Pass 2 : When is a loss a 'good' loss?

"The market's approach to valuing listed consumer internet companies has changed. Urban Company's stock reaction proves it in real time," Tanvi Kanchan, associate director at Anand Rathi Share and Stock Brokers Limited, told Business Standard. "Investors priced the core business as a profitable, improving franchise, and treated the InstaHelp burn as a separately-underwritten growth bet, not as a drag that taints the whole story. That kind of segment-level discipline from the Street is relatively new for Indian consumer internet," she said. According to her, investors are increasingly looking at where the money is going, what supports the investment, and whether the underlying economics are improving.

Devansh Lakhani, director at Lakhani Financial Services and an investment banker and fundraising expert, said to Business Standard that markets have become more willing to tolerate investment-led losses, but only when those losses are strategic rather than structural.

Lakhani said investors typically look for a few things before accepting such losses. The core business needs to be profitable or cash-generating, while the new business must show improving unit economics rather than depend indefinitely on discounts and subsidies. Investors also look for attractive returns on incremental capital, disciplined capital allocation and clear milestones for when the new vertical could begin contributing meaningfully.

"The market today clearly differentiates between companies burning cash just to sustain themselves somehow, without any future prospect, and companies investing from a position of financial strength to build the next growth engine," Lakhani said.

However, that does not mean investor patience is unlimited. Kanchan said one of the first warning signs would be a stalling or reversal of margins in the core business because the investment thesis depends on that business continuing to provide the financial foundation for the new bet. Investors would also become uncomfortable if the loss-making vertical stopped showing improvement in per-order or per-user economics, or if promised breakeven timelines kept slipping.

Reading Pass 2 : Blinkit provides the template, but Swiggy shows the limits

For a sense of where such a strategy can lead, look at Eternal and Blinkit. Blinkit was for years the loss-making growth engine alongside Zomato's increasingly profitable food-delivery operation. In the first quarter of FY26, for instance, Blinkit recorded an adjusted Ebitda loss of ₹162 crore even as its NTV grew 127 per cent Y-o-Y to ₹9,230 crore. Zomato's food-delivery business, meanwhile, generated an adjusted Ebitda margin of 5 per cent of NTV.

However, in Q1FY27, Blinkit's NTV rose 86.2 per cent Y-o-Y to ₹17,132 crore and it generated adjusted Ebitda profit of ₹102 crore. Eternal's food-delivery operation remained the cash-generating anchor, producing adjusted Ebitda of ₹606 crore at a 5.6 per cent margin on NTV.

"Blinkit has definitely changed investors' perspectives," Lakhani said. What began as a cash-burning business has, after years of investment and execution, become one of Eternal's biggest growth drivers. But the lesson, he cautioned, is not that every internet company should launch another business. Strategic synergies and management's ability to execute remain critical.

Swiggy shows why investors are still discriminating between businesses rather than rewarding growth indiscriminately. Its Q1FY27 revenue rose more than 37 per cent Y-o-Y to ₹6,812 crore and its consolidated net loss narrowed by about 34 per cent to ₹791 crore from ₹1,197 crore a year earlier. Instamart's gross order value (GOV) rose nearly 40 per cent to ₹7,907 crore in Q1FY27 and its contribution margin improved. Yet the quick-commerce operation still recorded a loss of ₹778 crore during the quarter. Swiggy's shares fell after the results.

According to the experts, this contrast helps explain why the framework matters. Both Urban Company and Swiggy have established businesses alongside newer, investment-heavy verticals. Both can point to improving economics in those newer businesses. But the scale of the drag, visibility of eventual profitability, competitive intensity and strength of the underlying cash-generating engine can lead investors to very different conclusions.

Reading Pass 2 : A second investment cycle?

Kanchan believes listed consumer internet businesses are entering a second investment cycle in which adjacent growth bets are becoming acceptable again. But unlike the first cycle, companies are operating under much tighter scrutiny. A healthy core business and a credible, time-bound path towards breakeven are now important conditions for keeping investors patient.

Lakhani said the investment boom around 2021 was fuelled by abundant liquidity and rewarded growth at almost any cost, while the emerging cycle is more likely to be financed by the cash generated by established businesses, forcing companies to be more disciplined about where that money is deployed.

"Companies are expanding because they have earned the right to invest, not because capital is cheap," he said. That could have implications beyond home services and quick commerce. As listed internet platforms mature, businesses in food delivery, beauty and fashion, fintech, travel and other consumer categories are reaching a stage where their original businesses can potentially finance new verticals. Profit may be allowed to wait, but not indefinitely. For investors, the question is increasingly not whether a company is making a loss, but what that loss is buying. If it is building a stronger business with improving economics and a visible path to profitability, the market may be willing to wait. If not, that patience can disappear quickly.